

Exercises

4 May 2026

Question 1

Each firm in a perfectly competitive market

- a) can influence the price of their product.
- b) produces a product that differs slightly from the products of its competitors.
- c) is a price taker.
- d) faces a downward sloping demand curve.

Question 2

The market for dark chocolate has many sellers and buyers, all of whom are price takers. A global study finds that dark chocolate has significant health benefits, including reducing inflammation and decreasing the risk of heart disease. Which one of the following statements is CORRECT?

- a) The market supply curve will shift to the right and the market demand curve will shift to the left. As a result, the equilibrium quantity will increase.
- b) The market demand curve will shift to the right, the equilibrium price of dark chocolate will increase, and the equilibrium quantity will decrease.
- c) The market supply curve will shift to the right and the market demand curve will shift to the right. As a result, the equilibrium price of dark chocolate may increase, decrease, or remain unchanged.
- d) The market demand curve will shift to the right, the equilibrium price of dark chocolate will increase, and the equilibrium quantity will increase.

Question 3

Consider the following average cost function:

$$AC = 180\,000/Q + 32 + 2Q$$

The total cost of producing the 200 units is:

- a) R1 332
- b) R34
- c) R266 400
- d) R832